

ECON 0100 | Vignette A1 | PPF

Colin Creevey can bake 20 cornish pasties (P) or 5 cauldron cakes (C) in one day. Set up Colin's PPF on an x, y graph with pasties (P) on the vertical and cakes (C) on the horizontal. Label the axes and the intercepts.

Q1 | Opportunity Cost

What is Colin's opportunity cost of producing 1 cake? Of 1 pasty?

Opportunity cost of 1C: _____

Opportunity cost of 1P: _____

Q2 | Feasibility

Suppose Colin bakes 10 pasties and 2 cakes in one day. Is this inefficient, efficient, or unattainable? Use a graph or algebra to justify your answer.

Inefficient, Efficient, Unattainable: _____

Q3 | Next Best Alternative

In his free afternoon Colin would rather bake for the Gryffindor party than photograph the Quidditch match, and both of which he'd prefer over taking a nap. What is Colin's opportunity cost of baking?

Opportunity cost of baking before the invitation: _____

Then Dennis invites him to Hogsmeade, which Colin likes more than photographing the match but less than baking. What is his opportunity cost of baking now?

Opportunity cost of baking after the invitation: _____